LUNR · FY2025 Q4

EARNINGS CALL

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Intuitive Machines, Inc. · 61 turns · 16 participants

CAST (IN ORDER OF APPEARANCE)

Operator
Operator

Pete McGrath
Chief Financial Officer

Austin Moore
Analyst, Canaccord Genuity

Edison Yu
Analyst, Deutsche Bank

Griffin Boss
Analyst, B. Riley Securities

Josh Sullivan
Analyst, Jones Trading

Moderator
Intuitive Machines Q&A Moderator

Steve Altomus
Chief Executive Officer

Stephen Zhang
Head of Investor Relations

Andrew Shepard
Analyst, Cantor Fitzgerald

Daniel (for Jeff Van Rie)
Analyst, Craig-Hallum Securities

Greg Pendy
Analyst, Clear Street

John Siegman
Analyst, Stifel

Michael Eshock
Analyst, KeyBank Capital Markets

Samantha Styro
Analyst, Bank of America

Sui De Silva
Analyst, Capital Markets

OPERATOR Operator

Ladies and gentlemen, thank you for standing by, and welcome to the Intuitive Machine's fourth quarter and full year 2025 conference call. At this time, all participants are in a listen-only mode. After the speaker's presentation, there will be a question and answer session. To ask a question during the session, you will need to press star 1 on your telephone. You will then hear an automated message advising you that your hand is raised. To address your question, please press star 1 again. Please be advised that today's conference is being recorded. I would now like to turn the conference over to Stephen Zhang, Head of Investor Relations. Please go ahead.

STEPHEN ZHANG Head of Investor Relations

Good morning. Welcome to the Intuitive Machines' fourth quarter and full year 2025 earnings call. Chief Executive Officer Steve Altomus and Chief Financial Officer Pete McGrath are leading the call today. Before we begin, please note that some of the information discussed during today's call will consist of forward-looking statements, setting forth our current expectations with respect to the future of our business, the economy, and other events. The company's actual results could differ materially from those indicated in any forward-looking statements due to many factors. These factors are described under forward-looking statements in the company's earnings press release and the company's most recent 10-K and 10-Q filed with the SEC. We do not undertake any obligation to update forward-looking statements. We also expect to discuss certain financial measures and information that are non-GAAP measures as defined in the applicable SEC rules and regulations. Reconciliations to the company's gap measures are included in the earnings release filed on Form 8K. Finally, we posted an earnings call presentation to our website, which provides additional context on our operational and financial performance. You can find this presentation on our investor relations page at www.intuitivemachines.com slash investors. Now I'll turn the call over to Steve Altibus.

STEVE ALTOMUS Chief Executive Officer

Good morning, everyone. 2025 was a transformational year for Intuitive Machines. We began with a focus on execution and growth. As we look back and reflect, we completed our second lunar mission, expanded into national security space programs, closed the acquisition of Kinetic Ferrospace, and announced the acquisition of Lanteris Space Systems. Looking forward, These acquisitions significantly expand our scale, addressable market, and growth opportunities. As a result, we expect 2026 revenue to approach $1 billion, nearly a 5X increase from 2025. Our combined portfolio has a diversified revenue mix with approximately 40% commercial business, 40% civil space, and 20% national security customers. evolving towards a balanced portfolio across all three customer bases. Today, the United States' strategic importance of the moon continues to intensify with the President's executive order to lead the world in space exploration and return Americans to the moon by 2028. To do so, NASA is currently preparing for Artemis II while reformulating Artemis III, In parallel, the agency has increased the cadence of robotic and human missions going to the moon to compete with China. Our strategy will continue to be moon-first infrastructure, and we are focused on growing the business across all space domains, LEO, GEO, Cislunar, and out to Mars and beyond. Through our early missions, we established the technical foundation of the company, with a mission-driven model where revenue was tied to a concentrated customer base and mission outcomes were binary, like delivering NASA payloads to the lunar surface. These early delivery missions under CLPS established one of the first commercial pathways to the moon, and we believe give us a competitive advantage to future growth in the space domain. Our CLPS missions built the operational expertise required for long-duration, persistent infrastructure systems that will support sustained surface operations. At the same time, Lantera Space Systems was operating on a larger scale, more established spacecraft platform market, with its 300-series, 500-series, and 1300-series satellite systems, which operate in more mature, expansive markets with consistent and predictable revenue generation. Historically, the Lanteris model was straightforward. Build reliable, cost-effective spacecraft to a customer's specifications and hand it over for operational life, which could exceed 10 years. Bringing these capabilities together, both Intuda Machines and Lanteris, creates a fundamentally different company. Today, we are focused on taking proven production platforms and applying them to new growth markets as a prime operator. Our operating model is organized around three integrated capabilities. They are to build, to connect, and to operate space infrastructure. Build is where we design, manufacture, and deliver spacecraft, landers, satellites, surface systems, propulsion, and avionics systems for government and commercial customers. This represents our business today. Starting later this year with IM3, or Mission 3, and our first lunar data relay satellite, our Connect capability integrates deployed assets into communications, navigation, command control, and data relay networks that enable persistent connectivity. Our Near Space Network contract, which includes data services, navigation, and timing capabilities, accelerates how quickly we can reach our third capability, which is to operate. This is where we provide mission operations, hosted payload services, and other infrastructure-based offerings like the Lunar Terrain Vehicle Services. As we look at these three capabilities, build, connect, operate, each progresses the business towards higher-margin services anchored by multibillion-dollar recurring revenue programs like LTBS, the TIGR Service, Mars Telecom Network Service, and Fission Surface Power, With the combined power of Intuitive Machines and Lanteris, the company can now pursue opportunities as a prime for defense programs, proliferated network infrastructure, and other infrastructure operations with higher procurement win probabilities driven by our scale, our technologies, and capabilities. Our current execution is grounded in the work our teams are building today for LEO, GEO, and Lunar Domains. In low Earth orbit, our team continues to execute under the Space Development Agency's proliferated warfighter space architecture. Deliveries of the final 300-series satellite buses under Tranche 1 tracking layer are underway with launch expected later this year. Work also continues on Tranche 2 and the recently awarded Tranche 3 tracking layer programs, which support proliferated constellations designed to detect and track missile launches. The 500-series platform, currently supporting high-resolution Earth observation for VANTOR, formerly Maxar Intelligence, is part of a NASA-selected team for the Earth Dynamics Geodetic Explorer mission called EDGE. This award demonstrates how the 500-series spacecraft design can support commercial imaging, science missions, and national security applications. Moving outward to geostationary orbit, the 1300 series spacecraft is the industry's most proven geocommunications platform. Operating companies rely on these satellites in geostationary orbit as part of a multi-billion dollar communications market. Over the last 40 years, Lanteris has served customers as the world leader in geocommunication satellites with over 3,000 aggregate years on orbit with 99.99% operational availability. The 1300 series production line includes ECOSTAR dish network and two Sirius XM satellites. ECOSTAR 25 successfully launched last week. Our team is currently performing the satellite's on-orbit system checks before starting high-power direct-to-home broadcast services across North America. SiriusXM 11 is undergoing final performance and integration testing with shipment expected in the second quarter. Production of SiriusXM 12 continues in parallel. Satellites in this class are designed to operate for more than a decade and support services such as broadband connectivity, media distribution, aviation communications, and enterprise networks on Earth. based on the 1300 series and designed for NASA's Lunar Gateway Station, this first-of-a-kind power and propulsion element is the highest powered solar electric propulsion spacecraft ever built. NASA has invested over a billion dollars in the PPE and the system is nearly complete. In January, the agency announced the PPE's successful power-up, confirming its ability to provide power high-rate communications, attitude control, and the ability to maintain and maneuver between orbits. In the second quarter, we will integrate the spacecraft's rollout solar arrays in preparation for final delivery to NASA. We have the ability to leverage the spacecraft design for future applications. At our Texas headquarters, with new expertise provided from Land Terrace, we're building our first Lunar Data Relay Satellite. We expect that satellite to launch with our IM3 mission, which we believe will start the operational task orders portion of the $4.82 billion Near Space Network Services contract. We expect this first of five satellites to support future lunar missions, which are all progressing through testing and integration in preparation for our next two contracted delivery missions. IM3 is progressing well, as all robotic mechanisms from our Maryland facility were delivered in the fourth quarter. Now our team is working on lander assembly, integration, and tests for the mission later this year. IM4 remains on track for 2027, and the mission plan includes flying two additional lunar data relay satellites to open more connect services under the Near Space Network Services Contract, and recognize higher margin revenue servicing specifically NASA's Artemis IV human landing mission. The Lunar Data Relay Satellites are our first connected space infrastructure assets. They are connected to Earth by our partners of Global Ground Stations. Collectively, this forms a secure space data network, a communications navigation architecture we intend to offer as a subscription data service with recurring revenue in conjunction with pay-by-the-minute operations. We believe most of the market understands networks being provided for Earth from space, whether it's Internet, satellite, radio, or broadband. It's important to understand the distinction, however. We are creating a network for space from space, an Internet for the solar system. Today, NASA provides that capability through the Deep Space Network. Spacecraft operators request time on that network and pay for access to communicate with their deep space missions. Deep space communications bandwidth, though, is limited and is multiple times oversubscribed. For example, NASA has indicated that live video from Artemis II will likely be transmitted at a low resolution. Intuitive Machines is working to solve that challenge. Higher data rates require our relay satellites and additional communications infrastructure operating between the moon and Earth. On Earth, Intuitive Machines is expanding its network coverage, adding a new ground station partnership in Australia and working to upgrade additional partner facilities around the world. The Australian disk successfully downlinked data from the James Webb Space Telescope, confirming that it can operate within NASA's existing network and reduce its bandwidth constraints. For space, Intuitive Machines continues to evolve globally, signing a strategic agreement with Leonardo and Telespatio to connect our lunar relay systems together and support European exploration missions. The next phase for the company is to operate the built and connected spacecraft as long-term infrastructure. The immediate opportunity for that model is already captured in the near-space network services contract. While the always-on network provides subscription-based data connection, additional value comes from operating hosted payloads and sensors to create new markets for science, reconnaissance, and exploration. The near-term catalyst for higher-margin infrastructure operations is surface mobility. The Lunar Terrain Vehicle Program is structured as a long-duration service where the provider builds, delivers, and operates the vehicle on the surface over many years. When selected, the vehicle will become a mobility infrastructure asset on the moon connected to our space data network, generating recurring revenue for NASA and commercial customers over time. Moving forward, the company sees growth opportunities from an operator's perspective. These opportunities include tracking and data relay satellite services, Mars telecom network services, and the Missile Defense Shield Program, while also adapting the 1300 series spacecraft bus for Space Force for highly maneuverable satellites, and evolving our satellite platforms for applications in the burgeoning orbital data center market. To support these growth opportunities, last month we completed $175 million strategic equity investment to advance communications data processing networks, including extending flight-proven satellite platforms. Intuitive Machines intends to invest in expanding its near-space network service and establish a solar system internet. Through investments in the Lantarus platforms, and specifically the 1300 series, The company believes it can grow market share in geostationary orbit, expand capability around the moon, extend capability to Mars, and support emerging high-power on-orbit data processing and edge computing. Now, I'll hand off to Pete McGrath, our CFO, for further comments on our financials. Pete?

PETE MCGRATH Chief Financial Officer

> Thank you, Steve, and thanks to everyone joining us today. As Steve mentioned, we made strategic moves last year to transform intuitive machines to become the next generation space prime, providing delivery, data, and infrastructure services, emphasizing growth in communications, navigation, and space data network for defense, civil, and commercial markets. The decision to acquire Lanteris positions the company for sustainable long-term growth. As a reminder, we closed the land tariffs acquisition on January 13th of this year. Therefore, the 2025 financials do not include land tariffs. Q4 financials do include the impact of kinetics, which was completed on October 1st of last year. Before reviewing the quarter, I want to highlight earlier this month, we were awarded a multi-year contract as part of the Space Development Agency's Tranche 3 tracking layer, which expands our role supporting the National Security Space architecture. This award reinforces our diversification and market expansion into national security programs, supporting sustained long-term growth and backlog and revenue. Back to the quarter. Q4 2025 revenue was $44.8 million, driven primarily by CLPS, ALMS, and NS&S execution. While Q4 revenue reflected program timing and government budget delays, we exited the year with strong contract momentum and major awards already announced in early 2026. Since year end, we were awarded the SDATRONS III as reference, and we expect decisions on large programs, including Lunar Terrain Vehicle Services and NASA's CLPS CT4 mission. OMS revenue was 14.7 million in the quarter. For the year excluding OMS, revenue was up approximately 65% year over year, driven by continued growth across all key programs. such as Cliffs, the LTV work we were doing, and NS&S. Q4 gross margin came in strong at $8.5 million, which represents a 19% positive gross margin. The gross margin improvement was driven primarily by higher margin services revenue, such as NS&S, as well as continued cost reductions across our fixed price contracts. Q4 was also our first quarter with Kinetics. And as previously discussed, Kinetics historically generates approximately 14% positive EBITDA and even higher gross margins. SG&A was $40.2 million and a quarter, including $10.8 million of acquisition-related transaction costs associated with the land terrorist acquisition. We also increased IRA investment to align with our long-term growth strategy. Excluding these costs, Underlying operating expenses remained consistent with prior quarters as we continued investing in program execution and infrastructure to support growth. Operating loss for the quarter was $33.1 million versus a loss of $13.4 million in the fourth quarter of 2024, driven primarily by acquisition-related transaction expenses, as well as continued investment in program execution and infrastructure to support the company's growth. Adjusted EBITDA was negative 19.1 million in the quarter, compared to negative 11.2 million last year, driven primarily by growth investments I just mentioned.

Operating cash used was 7.3 million in the quarter, with capital expenditures of 15.6 million, primarily for our first NS&S satellite, resulting in a negative free cash flow of 22.9 million in the quarter. For the year, free cash flow was negative 56 million, an $11.7 million improvement versus 2024. Free cash flow improved year-over-year despite higher capital investment in the NSMS constellation. This improvement was driven by $43.3 million less operating cash used partially offset by a $31.5 million increase in capital expenditures. We ended the year with cash balance of $583 million, which includes $15 million of cash outflow for the acquisition of Kinetics. Since year-end, $403 million of the cash was used for the acquisition of Land Terrace, along with additional postponed reconciliations that align with the $450 million cash portion of the purchase price. We have a transition service agreement in place that will continue through the third quarter. As Steve mentioned in February, we completed a $175 million capital raise anchored by institutional investors to strengthen the company's balance sheet and provide capital to support the continued execution of our growth strategy. Following this capital raise and outflows related to land-terrace acquisition, our cash balance as of the end of February was $272 million. As a reminder, this includes additional acquisition-related transaction and integration costs as well as the start of some investment costs we outlined as part of our recent capital raise. Following the acquisition of our recent capital raise, we believe we have sufficient liquidity to fund current operations while continuing to invest in strategic growth initiatives. Backlog at year end was $213.1 million compared to $235.9 million in Q3 of 2025, reflecting the timing of several large program awards that were delayed by the government shutdown and appropriations process. Approximately 60% to 65% of our backlog is expected to be revenue in 2026, and the remaining 35% to 40% in 2027 and beyond. Q4 backlog includes 22 million of new bookings driven primarily by homes as the fourth quarter is typically where we see the largest re-up in task force for the following year. As of February month end, our combined company backlog is estimated at 943 million, which includes a recent award SDA to retracking their contract, which was originally expected in Q4, but does not yet include key upcoming awards such as the next CLPS mission, LTV, Golden Dome, and other commercial satellites. Looking ahead, we expect additional backlog growth for several large multi-year NASA and national security programs currently moving through the government procurement cycle, including NASA's Lunar Terrain Vehicle Services, the next CLPS mission, Golden Dome Initiatives, and the next phase of Vision Surface Power and Orbital Transfer Vehicle Programs. We will also continue to bid on large geobuses via the 1300 series platform. Historically, these were roughly one to two new satellite buses per year, which provides a solid base for our commercial market. As part of our growth strategy, we are making investments to increase flexibility of the satellite on orbit through the introduction of digital processors, which we believe increases future market share opportunities. This, along with other investments in the 1300 series satellite, will expand our total addressable market. As of March 11th, our total shares outstanding are $216.8 million, with 159.4 million shares of Class A and 57.4 million shares of Class C. This includes the shares issued for both the Lanterras acquisition as well as the $175 million capital raise. Moving on to guidance. 2026 will be a transformational and record year for the company. With the acquisition of Lanteris completed in January, Intuitive Machines enters 2026 as a fundamentally stronger, more competitive, and more diversified space infrastructure company. Intuitive Machines now operates across all space domains, from lunar services to proliferated national security space architectures and commercial geo-platforms, which when combined significantly expands both our addressable market and revenue base. For 2026, we expect revenue in the range of $900 million to $1 billion, representing a transformational step up in scale for the company. Importantly, roughly two-thirds of our expected 2026 revenue is already supported by contracted backlog, giving us strong visibility into our outlook. On the profitability side, we expect continued margin improvement and are targeting a positive adjusted EBITDA for the full year. The primary drivers are scale from the land tariff acquisition, expected growth and higher margin service revenue, such as NS&S and navigation services, and continued operational efficiencies across our fixed price contracts. Since closing the Lanteris acquisition on January 13th, we continue to finalize the combined company perform a financial presentation, expect to provide that additional detail shortly. Before we get to Q&A, I want to take a moment to highlight our strong financial performance in 2025. We were able to grow the top line across all our key programs while expanding gross margins offsetting the impacts of OMS and the government shutdown. On the cash side, we continue the trend of reducing free cash flow burn year over year while simultaneously investing in growth and CapEx for our NS&S constellation. Adjusted EBITDA profitability and positive free cash flow continues to be in sight, supported by higher margin service growth. To accelerate that growth, we made very strategic and targeted acquisitions this year. These acquisitions have further diversified the business to more evenly split between civil, defense, and commercial. With the acquisition of land tariffs and strong momentum across national security, civil, and commercial markets, Intuitive Machines has entered 2026 as a more competitive and diversified space infrastructure company with size and scale. We believe this positions us to deliver record revenue, achieve positive adjusted EBITDA, and continue scaling our role in the emerging space economy. With that, operator, we are now ready for questions.

OPERATOR Operator

Thank you. And a quick reminder before we start the Q&A, please limit yourself to one question only. Again, if you'd like to ask a question, please press star 1 on your keypad to raise your hand and answer the queue. And if you'd like to withdraw your question or your question has been answered, please press star 1 again. And we will take our first question from Josh Sullivan from Jones Trading. Please go ahead.

JOSH SULLIVAN Analyst, Jones Trading

Hey, good morning. Good morning.

MODERATOR Intuitive Machines Q&A Moderator

Good morning, Josh.

JOSH SULLIVAN Analyst, Jones Trading

Yeah. I just wanted to key in on the Lanteris integration. You know, where are you guys ahead of schedule? You know, where are the hurdles? And what's been the customer response?

STEVE ALTOMUS Chief Executive Officer

Yeah, the integration of Lanteris with Intuitive Machines is going very well, Josh. The customers are all excited about the opportunities that the business combination creates. And so far, you know, the company – We're working on a transition service agreement with Vantor, the parent, to carve out things like the IT, the accounting system, the payroll system, and make sure that those systems are fully up and running so that the business can stand alone and be merged with Intuitive Machines. And all that's going well ahead of schedule. There was a plan for a nine-month period of time for that transition to occur. And like I said, we're well ahead of schedule. So I'm really excited about the combination and what the future holds for us.

MODERATOR Intuitive Machines Q&A Moderator

Great. Thank you for your time. Thank you.

OPERATOR Operator

Our next question comes from the line of Sui De Silva from Capital. Please go ahead. Good morning.

SUI DE SILVA Analyst, Capital Markets

Good morning, Steve. Good morning, Sui. Good morning. Hey, guys. You talked about national security growing in the mix and trying to make it sort of a third, a third, a third across the company. Can you talk about the key programs, if you've won them, or if they're in the pipeline, to help increase the national security in the mix?

STEVE ALTOMUS Chief Executive Officer

Yeah, we talked about the Space Development Agency's tracking layer, tranche one, two, and three. Three is the latest award with L3Harris for 18 satellites. We just announced that here recently, and there's a potential to upsize that number of satellites. In addition, we have proposals in for Golden Dome to build 300 series satellites for those programs. And then in addition, we have another orbital transfer vehicle development undergoing. We've been through phase one and phase two, and we're expecting award or advancement to phase three, which is the We've been through critical design review, and now we're headed the next phase to full development of that transfer vehicle. So very, very excited about the potential here in national security space and some of the developments we're doing and the proposals we have in the mix.

SUI DE SILVA Analyst, Capital Markets

Thanks, Steve. And then on calendar 26, your revenue guidance there, can you talk about the linearity, perhaps, Pete, you know, first half versus second half, given you have backlog visibility, and what would drive potential 26 upside potentials? in your guide, and just maybe you can touch on LTV and where they are in the program selection process.

PETE MCGRATH Chief Financial Officer

> Okay, I'll start the last one. Our understanding is I think they're ready to make an award decision on LTV. It's just timing. We're waiting to hear when they actually make that award. In terms of the revenue guidance, I'd say it's pretty level throughout the year. Just note that when we talk about integrating land tariffs into our financials, The acquisition was closed on the 13th of January, so we lose about half a month of January in revenue from them. So you'll have that one anomaly probably in January. But beyond that, you'll see a pretty steady state, I think, through the year.

STEVE ALTOMUS Chief Executive Officer

And in terms of upside, Suji, against the guidance, there is potential for, as the Artemis program reformulation occurs, you've seen already the administrator call for acceleration of of some of the Artemis missions. And part of our Near Space Network contract, if they want to restructure that and accelerate that, there might be some upside this year associated with acceleration to support the nearer-term Artemis missions. Okay, thanks. Congrats on the progress. Thanks.

OPERATOR Operator

> Thank you. Our next question comes from the line of Andrew Shepard from Cantor Fitzgerald. Please go ahead.

ANDREW SHEPARD Analyst, Cantor Fitzgerald

Hey, everyone. Thanks for taking our questions, and congratulations on a great quarter and on the acquisition. I'll limit myself to one question just to maybe be respectful of my peers. I'll maybe ask a two-part question, if I may. Steve, you touched on this in your prepared remarks a little bit. Maybe for those that are maybe less familiar with Lantaris, just at a simplified level, what are the things that intuitive machines can do now that maybe couldn't do previously? And the second, I guess, part of the question, just coming back to the LTV, looks like we're awaiting an imminent decision. Do we have a sense of kind of how that decision might be Determined, in other words, are we expecting perhaps two award winners or a primary or a backup? Just a little more color there on the latest. Thank you.

STEVE ALTOMUS Chief Executive Officer

Yeah, Andres, good morning. Yeah, concerning the LTV in particular, Pete mentioned that briefly. I think the Artemis II mission and the reformulation of Artemis III, IV, V, and VI was the priority for the agency. And now you'll see, we expect, you'll see follow-on procurements at the next level coming out here shortly. And so we've been waiting, as you know. We believe the decision's been made. There was an opportunity for the bid asked for one and a half awards, which means one primary award and a half of an award to have a hot backup. contract, if you will. And we'll wait and see. There's a potential, you know, the agency likes to have competition. So there's a potential there'll be two full awards and we'll just have to wait and see, but we feel it's imminent. That's all the, all the, all the words we're getting at this point. And so we'll be standing by and waiting for the, for the good news. Now for the other question, what can IM do now with Lanteris? It's a very exciting question. We think about the series of satellite buses, the production line, the capabilities that that company has, the high reliability that they have with their satellites in orbit. We take that capability and we add it to our data relay constellation, providing satellites in and around the moon. It gives us also an opportunity to repackage the power propulsion element and offer that in different markets for satellites. whether it's a comm node around the moon, whether it's a data center kind of construct, or whether it's a nuclear propulsion platform. There's a lot of different things that can be done, versatility by putting the innovation that Intuitive Machines brings to all the markets with that reliable production, high-quality satellites. So very excited to – to get moving on the growth initiatives and across commercial, civil, and national security space.

PETE MCGRATH Chief Financial Officer

> We've already submitted two proposals post-closing that we probably would not have submitted if we had a combined company.

ANDREW SHEPARD Analyst, Cantor Fitzgerald

I see. Wonderful. Excellent. Well, thank you, Steve. Thank you, Pete. Congrats again on the quarter. We'll pass it on.

STEVE ALTOMUS Chief Executive Officer

Thank you.

OPERATOR Operator

> Thank you. Our next question comes from the line of Austin Moore from Canaccord Genuity. Please go ahead.

AUSTIN MOORE Analyst, Canaccord Genuity

Hi, good morning. I was just wondering if you could talk about some of the operational changes that have been made at Land Terrace to make the business better positioned to perform on firm fixed price contracts, just given the possibility of cost overruns during production, depending on what kind of bus it is.

STEVE ALTOMUS Chief Executive Officer

Good morning, Austin. Yeah, Chris Johnson, the president of Land Terrace, has done a fantastic job streamlining the business, making it efficient, eliminating terms and conditions in some older contracts that were onerous for the business. They've streamlined production. They've invested in the 300 series, and we've seen that produce – programs in national security space. So they bid in the appropriate margins and have the right size workforce and the right size facility complement. So I'm very proud of the work they've done. And it was an opportunity for Intuitive Machines to come in and acquire the business when it was on its feet, strong and producing. So the future is very bright for us as a combined business.

AUSTIN MOORE Analyst, Canaccord Genuity

Great, thanks for the call.

OPERATOR Operator

> Thank you. Our next question comes from the line of Edison Yu from Deutsche Bank. Please go ahead.

EDISON YU Analyst, Deutsche Bank

Hey, thank you for taking our question. There's been a lot of talk about data centers in space. You just talked a lot about connectivity on the moon, Mars, solar system. How do you think about this type of architecture in terms of what it looks like? And are there certain technical capabilities that Linteris brings that you can perhaps highlight? Thank you.

STEVE ALTOMUS Chief Executive Officer

Good morning, Edison. I think there's a lot of difference of opinion on where the actual customer base will be for on-orbit data centers and what the architecture for on-orbit data centers will be. We are studying that very carefully right now. I think what Lanteris brings to the table is this power propulsion element, the most powerful power-generating spacecraft ever built that has the ability to be a node in a data center. And I think if you think about data centers in particular, there's the storage element, the transmission element, and the edge computing element or the high-speed computing element. I think edge computing in space and doing decision-making in space is the key to the future of data centers as opposed to replacing terrestrial-based data centers. I'm skeptical about large, extremely large, proliferated constellations in low-Earth orbit. They have their challenges both in power generation and in thermal management. And I think thinking about it with a set of large, small nodes together, Maybe up in the geobelt is probably a better architecture, and that's kind of where we're aiming at this point. Thank you.

OPERATOR Operator

> Thank you. Our next question comes from the line of John Siegman from Stiefel. Please go ahead.

JOHN SIEGMAN Analyst, Stifel

Good morning, Steve, Pete, and Steve. Thanks so much for taking my question. Congratulations on closing the acquisition in a busy couple months. One more question on LTV. Artemis restructuring was all positive for your markets, but the actual acceleration of Artemis V, which I understood is the mission that the LTV was supposed to be launched on, and the delay in the award, just can you talk about Is there enough time to complete it when it is awarded, or is this something that's going to change the structure or the exact mission? Thank you.

STEVE ALTOMUS Chief Executive Officer

Well, we've seen – we expect an award in the November timeframe, and so there's a several-month delay in the award. But really, in our construct, what we proposed was a delivery on a SpaceX Falcon Heavy – uh, with a lander, uh, it's called supernova. It's our heavy cargo lander derived from our Nova sea lander, which has been to the South pole twice. Um, so we're kind of in our own, uh, have charge of our own destiny, uh, flying on, uh, non, uh, related star, uh, Falcon nine, non not related to Artemis directly. Right. So we're not tied to the sequence of events for Artemis five. we are flying independently per our architecture. And that gives us an edge to move that around and be in more control of the schedule. So I don't see any significant delays to what we proposed.

JOHN SIEGMAN Analyst, Stifel

That's fantastic, and I'll just slip in another one that we got that I didn't have a great answer for. We've seen some second thinking about the transport layer by the SDA and relying on SpaceX constellation. Our understanding is the tracking layer, however, is completely independent of that. I was hoping you could confirm that thought and explain a little bit about why the tracking layer that you participate on isn't really in the threat of being outsourced to an existing constellation. Thank you again.

STEVE ALTOMUS Chief Executive Officer

You're correct in that the tracking layer is not affected here by this thinking, and all indications from the customer are that it's going to continue and continue to grow and be replenished as we move forward. So, I don't have any insight into those discussions internally to the government or with SpaceX, so I can't comment on that in particular.

MODERATOR Intuitive Machines Q&A Moderator

Thank you. Thank you.

OPERATOR Operator

> Our next question comes from the line of Michael Eshock from KeyBank Capital Markets. Please go ahead.

MICHAEL ESHOCK Analyst, KeyBank Capital Markets

Go ahead. Hey, good morning. I wanted to ask on the Space Superiority Executive Order that was signed in December and the strong support there for establishing a lunar presence, did that pull forward any of your longer-term growth initiatives? Obviously, there could be some near-term challenges with the government shutdown, but does the administration's support for a lunar presence accelerate any initiatives or shift your focus at all? Thanks.

STEVE ALTOMUS Chief Executive Officer

We are working directly with NASA to look at ways to move efforts forward faster. You know, the agency is coming out with some streamlined acquisition guidelines to be able to let procurements out faster and is asking for commercial companies to figure out ways to bring investment to the table, to add to the federal dollar, to actually speed up development activities to accelerate our presence in space and accelerate astronauts' boots on the moon. Our efforts are specifically focused on putting in the necessary infrastructure in and around the moon to enable sustained presence at the moon. So the executive order that was signed is complimentary, or our business is complimentary to that executive order, and we're aiming to support it as best we can. Great.

MODERATOR Intuitive Machines Q&A Moderator

Thank you. Thank you.

OPERATOR Operator

> Our next question comes from the line of Ronald Epstein from Bank of America. Please go ahead.

SAMANTHA STYRO Analyst, Bank of America

Hi, good morning. This is Samantha Styro on for today. I just wanted to ask about how you see the competitive landscape evolving, given the restructuring of Artemis, increased interest from SpaceX, Blue Origin, and some other players. Is it more challenging? Do you see opportunities for extended applications? Kind of any color you can give around that.

STEVE ALTOMUS Chief Executive Officer

Well, from what I understand about NASA's plans for the lunar economy and space exploration, The administrator, Isaac Min, has called for a higher cadence of missions to fly more equipment to the moon to learn about sustained presence on the moon. So there'll be more rovers, more landers, more satellites in and around the moon as a result of this push for sustained presence on the moon. I think that's excellent news for Intuitive Machines. And I think, you know, the vendor pool from CLPS 1, you know, will persist to CLPS 2.0. All the authorization appropriations language that we've seen includes the follow-on CLPS. And we've heard from the administrator that he'd like to see, you know, a launch a month to the moon in the future. And so calling for that kind of support cadence of missions and repetitiveness really does improve reliability in our systems and allows us to grow a more sustainable business. So we're very excited about it.

SAMANTHA STYRO Analyst, Bank of America

Great.

MODERATOR Intuitive Machines Q&A Moderator

Thank you. Thank you.

OPERATOR Operator

> Our next question comes from the line of Griffin Boss from B Riley Securities. Please go ahead.

GRIFFIN BOSS Analyst, B. Riley Securities

Good morning. Thanks for taking my question. So I just want to dig a little bit deeper into what you just mentioned there, Steve, on QLPS 2.0. So I know we're patiently awaiting LTV and other contracts like TT4, RGX, others, but QLPS 2.0 is kind of a new one on the horizon. Obviously, there was an RFI out earlier this year. I'm sure Intuitive responded to that. But Do you have any insight, you know, where that stands or I guess more definitively what the scale and scope of that could be, acknowledging that CLPS 1.0 I think was about $2.5 billion. So I don't know if you have any insight as to if that scale for CLPS 2.0 will increase given, you know, that increased cadence of lunar landing that Dr. Mishra talked about last week.

STEVE ALTOMUS Chief Executive Officer

I do expect CLPS 2.0 to be larger than CLPS 1. We've introduced ideas in our RFI response to the agency and some white papers unsolicited to increase the cadence of missions. And we're seeing that that's what's being called for. We've got to think through how to increase production to meet that cadence of missions. We've requested things like block buys where you can buy several missions at a single time, and that would increase production rates and increase supply chain throughput. And we've also introduced the concept of heavier cargo, because we're going to be bringing bigger and larger and larger elements to the surface, much like LTV. And so the call for heavier cargo is necessary, and we put that input in also. So larger vehicles. And What else is interesting is the move from the Science Mission Directorate. CLPS 1.0 was part of the Science Mission Directorate. We've seen that move over to the Exploration Mission Directorate. And so you'll see more engineered systems, surface infrastructure systems being called for in CLPS 2.0. The exact dollar amount, I'm not certain what that will be as the agency figures out how it's going to rejigger their budgets. But it's all positive is from what I'm hearing.

GRIFFIN BOSS Analyst, B. Riley Securities

That's great, Keller. Thank you, Steve. Appreciate you taking the question.

OPERATOR Operator

> Thank you. Our next question comes from the live Jeff Van Rie from Craig Howell.

DANIEL (FOR JEFF VAN RIE) Analyst, Craig-Hallum Securities

Good morning. This is Daniel on for Jeff. Just on the organic growth profile, I know you said previously Lanteris had been running around $630 million in revenue. I don't know if you have an updated number for full year 25, but on a combined basis, can you point us to, it looks like maybe it's around teens organic growth for 2026, maybe just walk in our expectations for organic growth?

PETE MCGRATH Chief Financial Officer

Yes. So, by the way, we haven't provided year-end yet. We're closing out our performance here, and we should have them out near term. So that will give you the 24-25 year-end combined. But in terms of growth, you know, when we look at our guidance, you know, we are, you know, we're looking at it as a combined company now. There's a lot more integrated capability that we're bringing forward, so it's a little harder to parse it out. But arguably, you know, of it, you know, you're looking at about 66% of the revenue is coming out of land tariffs and the other 33 is coming out of us. And so that's a rough magnitude kind of look, but we'll get more granularity after you see the performance and as we move into visibility through the quarters.

MODERATOR Intuitive Machines Q&A Moderator

Okay. Thanks, Pete. Thank you.

OPERATOR Operator

Our next question comes from the line of Greg Pendy from Clear Street.

GREG PENDY Analyst, Clear Street

Please go ahead.

OPERATOR Operator

Hey, guys.

GREG PENDY Analyst, Clear Street

Hey, thanks for taking my questions. Just a quick one here. I think you addressed, you know, the low hanging fruit on NSN, given the bandwidth constraints at Deep Space Network for the initial launch and also how commercial has only grown. But could you touch on the defense side, you know, hearing a lot how the moon's the ultimate high ground and how that may have that demand there for NSN may have changed from where it was a year ago, given what other countries might be doing? with their ambitions on the moon. Thanks.

STEVE ALTOMUS Chief Executive Officer

As far as international business goes, you heard us announce a strategic partnership with the Italian companies Leonardo and Telespazio. They have an ESA-funded program called Moonlight to put communication satellite and some navigation satellites around the moon for European business. We struck a partnership to tie our networks together so the networks are larger. We're also working initiatives with JAXA Japan to do a similar thing to kind of create a standard and to create coverage in a way that supports, you know, the Japanese market, the European market and the U.S. market combined. So that's very exciting for us, and we're clearly seen as a leader here, setting the tone for how these networks will evolve and be interconnected and interoperable. On the national security side, space domain awareness is of critical importance, and having assets in and around the moon and lunar space is very important for understanding what the traffic model is around the moon and and where things are moving. And so there's been expressed interest in using our network for those reasons also.

MODERATOR Intuitive Machines Q&A Moderator

That's very helpful. Thanks a lot. Thank you. Okay.

OPERATOR Operator

And that concludes the Q&A portion of this call. I'll hand it back over to Steve Altimus for any closing remarks.

STEVE ALTOMUS Chief Executive Officer

Okay, Dustin, thank you for your questions today, everyone. You heard our strategy, and at its core, it's about building a business with greater durability and higher value over time. We're executing on our strategy and moving from single mission-based operations towards long-duration infrastructure services. That's the path we're on, and that's how we're thinking about the company's future, and the future's bright. So thank you very much today, and you'll be hearing more from us in the future. The meeting has now concluded.

OPERATOR Operator

> Thank you all for joining, and you may now disconnect.